PRM60003

THE RISK SPECTRUM

INTRODUCTION

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- Introduction
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Unit Learning Outcomes

1. develop a critical understanding of conventional and disruptive risk frameworks
2. demonstrate a coherent knowledge of the various types of risk to business continuity in the context of an increasingly interconnected, highly networked world
3. communicate effectively to internal and external stakeholders as a professional and function as an effective team member or leader
4. research, design and implement non-linear problem solving methodologies using general strategic risk assessments
5. critically analyse, synthesise and implement methods of risk adaptation for project management in complex environments.

Our program …

- Teaching Staff
  - Dr Bill Young – Lecturer and Convenor
- Learning and Teaching Structure
  - Lectures and discussion weekly
  - Refer to Unit Outline on Canvas for details for weekly schedule
  - Unit readings recommended in weekly modules
- Assessment
  - Submit on time
  - Plagiarism - zero tolerance

Consider your own

- Work & study history
- Mode of learning and teaching / preferences
- Critical analysis / avoid closed system thinking / models important for structuring ideas, concepts – they provide a frame for inquiry

Assessment Overview

Assignment task	Word count/ Time limit (+/- 10%)	Individual/team task	Related unit ULOs	Weighting
Assignment 1: Perceptions of risk in a complex world	2000 word limit	Individual	1, 2	20%
Assignment 2: Three in-class discussions and briefing notes	750 - 900 word limit each	Individual	3, 4, 5	10% 15% 15%
Assignment 3: Team case study report and presentation	2500 word limit	Team	1, 2, 3, 4, 5	40%

With assignments …

- Cover sheet
- References – Use APA referencing type only
- Demonstrates you have conducted research and provides grounding for your arguments.

With assignments …

- Assignments that are descriptive only, will receive a lower mark compared to those demonstrating critical analysis and even better if they apply synthesis.
- Research the differences.

How far do you want to go in this Unit?

- You can choose to learn as much as you can
- You can choose to get as many marks as possible
- You can do both
- Or you may just want a paper for promotion, PR and so on … think about your motivation!

To consider

- This is not a tick the box course - risk management requires the application of academic rigor, critical analysis and synthesis of concepts, deep observation of the context, constant situational awareness, exploring case studies to learn from success and a range of predominant and disruptive theorists.
- It is not a course on risk avoidance or risk elimination. Nothing innovative was created in a risk free environment.

Learning Academic Skills

- **Study Smarter Workshops**
- **Assessment focussed special workshops**
- **One to one or small group academic skills advice for students**

Make a booking via this link <swi.nu/las-booking> or visit the LAS Drop In desk on Level 3 of the Library to get help with a quick question about assignments.

SWINBURNE UNIVERSITY OF TECHNOLOGY

Learning and Academic Skills (LAS) Hub

Want to improve your study skills and get better marks?

LAS assists students to develop and improve their academic and study skills including:

- writing essays, reflections and reports
- referencing
- online presentations
- exam strategies
- literacy skills

LAS Hub is our canvas shell which has info on all LAS services. swi.nu/ssonline to self-enrol.

Individual Consultations by appointment

- book via swi.nu/las-booking during semester
- Monday to Friday 9.00am – 5.00pm

Drop-in Advice

- no appointment needed, online and on campus, see hub for details
- Tuesday – Thursday 10:30 – 4:30
- Friday – 10:30 -2:30

English Conversation Sessions see hub for details

- online all year: Wednesdays 12:30pm – 1:30pm

LAS Workshops on study skills, including essay and reporting writing, analysing the assignment questions. there are lots of them, go to swi.nu/ssonline for more info...

For enquiries, email: las@swin.edu.au

Readings

- - ISO/AS 31000 – Risk Management Principles and Guidelines
- - Hickok, Lauren. (2014). The Decision in Favour of Operation Neptune Spear. Journal of Political Risk, 2(7), July.
- - Peer reviewed journals
- - Go outside – COL John Boyd explored extensively outside his area of expertise.

What is risk?

When you type 'what is risk?' into an internet search, most definitions feature descriptive language and words such as danger, loss, hazard, threat or liability.
It's important to be aware that risks, hazards and threats are not the same things, and in this unit, we need to be conscious of using consistent language and terms. So for the purposes of this unit, we draw our definition of risk from the ISO 3100 Risk Standard which defines that:

Risk = An event + Probability + Impact

IS0 31000

ISO 31000 Risk Standard describes risk as the effect of uncertainty on objectives.

History, language, definitions

- A weakness in conventional risk management is how it is taught and applied in a mechanical / linear predictive process.
- In this unit we want to exploit uncertainty. Think about what that means for your business, investment, work place, innovation etc How can you create value from exploiting uncertainty?

History, language, definitions …

- What is the first thing that comes to mind when asked what risk is about?
- Why assess risks?

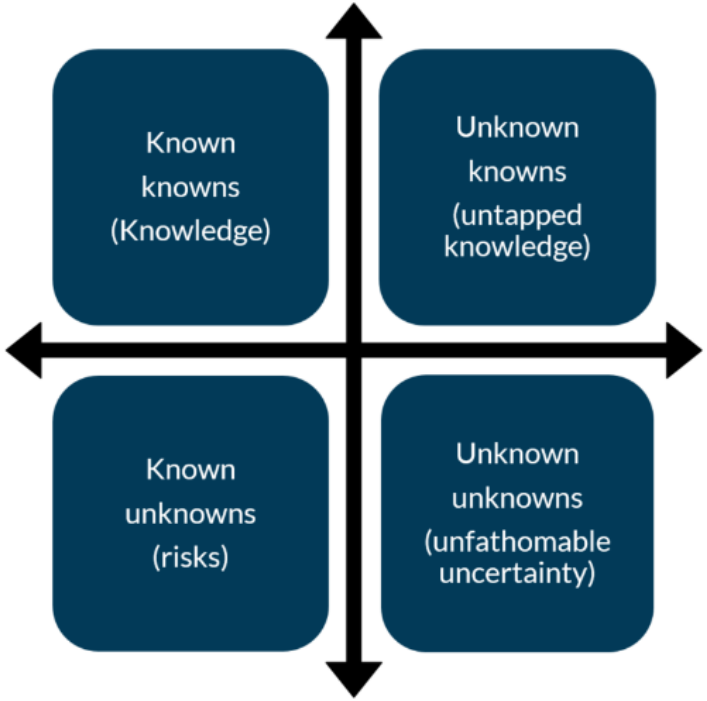
History, language, definitions …

- Risks / Hazards / Threats – not the same thing
- Consistent use of language and terms matters.

Typology of risk

In the normal course of business, organisations face a variety of risks, such as **business risk (reputation), market risk (commodity or interest rates), credit risk (default, country exposure), and operational risk (controls, systems, legal).** Each involves identifying, evaluating and managing these components, or dimensions, of risk.

A typical classification of risks is based on the level of knowledge about a risk event's occurrence (either known or unknown) and the level of knowledge about its impact (either known or unknown). This leads to four possibilities (Cleden, 2009 in Kim, 2012).



Level of knowledge of a risk event's occurrence

(2012) adapted from Kim

History, language, definitions …

- History of Risk (See Ricardo Vargas presentation).
- While the word is ancient the measurement of risk did not begin until 17th Century.
- Prior to that framed in terms of the gods / fate

History, language, definitions …

- Enigma of Mere (challenged a mathematician to solve a puzzle on how to split a bet)
- Coincided with renaissance in economics, science, art / mathematics could be used to predict the future and enabled developments such as shipping insurance, the Normal distribution curve – De Moivre

History, language, definitions …

- BUT risk framed as negative / what can go wrong
- When in fact it is about dare!
  - SAS motto Who Dares Wins

Workshop session

- Form into small groups and write down what you want to learn or know about risk.
  - Why are you here?
  - What confuses you or interests you about risk?
  - What is the point of risk management?
- Discourage the “because I do project management….”

Workshop together

- Take 10 min. and make it meaningful
- Discuss among yourselves
- Have each person read out their answer.
- Then prioritise the answers in a logical order that makes sense for the course.

Case Study: Operation Neptune Spear

- May 2, 2011 - Bilal Town, Abbottabad, 450kms from Jalabad, Afghanistan
- Perceptions of risk or heuristics. Context is everything
  - Strategic (including history – Iran Hostage Crisis / Mogadishu / geo-politics)
  - Organisational
  - Operational

Case Study …

- Perceptions – experience / history / capability
- Consequences (success & failure) – this is key… analysed the consequences of success.

Operation Neptune Spear

Stakeholder roles are crucial when projects are planned, resourced, and implemented by teams and context is everything, specifically:

The quality of the intelligence (information). How long do you analyse information before recognising the information may be as good as it is going to get?

The quality of the team—the SF team trusted each other implicitly to adapt at the point of action.

Re-framing the risk, from 'what could go wrong?' to 'what if we don't proceed?'

In Operation Neptune Spear, President Obama **analysed the consequences of success, not just failure**. This is key to the significance of this case study. The operation required an analytical approach to risk perception.

Obama and Biden await updates on Bin Laden (n.d.) <https://bit.ly/13G0Zeg>

Case Study cont …

- Strategic planning based on principles of: Repetition, Surprise, Security, Speed, Simplicity, Purpose “a simple plan carefully concealed, repeatedly rehearsed.”
- Obama: 50 / 50 but not on failure but on whether OBL was there & the raid would be successful.
- Admiral McRaven knew SEALs would succeed (Mission success in AFG / Iraq went from 35% - 80%)

Case Study cont …

1. Accuracy of intel (this is just information like your company requires)
2. Probability of SEALs (how capability your team/how much they trust each other to adapt and the point of action)
3. Consequences (costs and benefits) – what is the risk if we don’t do this?

Case Study cont …

- National Security team developed options that enable them to test analysis of risks and created confidence in the ultimate decision.
- Conducting red teaming – pull apart their analysis by going outside their system.
- Risk vs Uncertainty see Frank Knight's 1921 description.
- National Intelligence Committee could not be certain – but they expected uncertainty / anticipated unknown unknowns. SEAL team said "if you want risk to zero hire an accountant."

Case Study cont …

- The risk essentials pivoted on 1. Probability of operational success 2. Consequences for national security.
- Exploiting uncertainty is where value is found / discoveries made / competition defeated / and risks overcome through adaptation.
- Is doing nothing an option / what about alternatives?
- This case is relevant and applicable because the analysis of risks, stakeholders, perceptions, making a decision within a team (each who will have their own motivations), viewing risk as a positive; these are the same pressures that you may face.

Risk versus uncertainty

- Frank Knight, in his publication 'Risk, uncertainty and profit', describes the relationship between risk and uncertainty:
- *Uncertainty must be taken in a sense radically distinct from the familiar notion of Risk, from which it has never been properly separated.... The essential fact is that 'risk' means in some cases a quantity susceptible of measurement, while at other times it is something distinctly not of this character; and there are far-reaching and crucial differences in the bearings of the phenomena depending on which of the two is really present and operating.... It will appear that a measurable uncertainty, or 'risk' proper, as we shall use the term, is so far different from an unmeasurable one that it is not in effect an uncertainty at all.*
- (Knight, 2006)

Task

- **Step 1:** Think of an example of uncertainty in your business, or a sector that you're interested in (such as construction, finance, sports marketing). Think about what that means for a business, investment, workplace, innovation, etc.
- **Step 2:** Consider answering the following question:
- How might you create value from exploiting this uncertainty?
- Always aim to contribute to the discussions each week.

Recommended Reading

- Paul Hopkin (2014) Ch 1-5, 20, 25, 26 & Appendix B
- ISO/AS 31000 2009 – Risk Management Principles and Guidelines
- Hickok, Lauren. (2014). The Decision in Favour of Operation Neptune Spear. Journal of Political Risk, 2(7), July.

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